

	A	B	C	D	E	F	G	H	I	J	K	L	M	N	O
1	Basic														
2			Wors case	Most Likely	Best case										
3		Cost													
4		Variable	46	40	35										
5		Fixed	52,000	43,000	31,000										
6															
7		Demand	2,500	3,500	5,000										
8															
9		65 Price													
10	คำนวณ	Revenue	162,500	227,500	325,000										
11			=A\$9*C7	=A\$9*D7	=A\$9*E7										
12		Expense	167,000	183,000	206,000										
13			=C5+(C4*C7)	=D5+(D4*D7)	=E5+(E4*E7)		AVERAGE								
14		Profit	(4,500)	44,500	119,000		53,000								
15			=C10-C12	=D10-D12	=E10-E12		=AVERAGE(C14:E14)								

Example: A company in the western United States manufactures and distributes women's hand- bags to retail stores around the country.

-To manufacture a handbag, the company usually incurs a variable cost of \$40 per handbag, but the actual costs in the past have ranged from \$35 to \$46 per handbag.

-The overall fixed cost is usually \$43,000 but may vary between \$31,000and \$52,000.

-The retail price of each handbag is \$65. Based on a small amount of sales data available, the demand has fluctuated between 2,500 and 5,000 handbags per quarter, but in most quarters the demand has been about 3,500 handbags.

-Conduct a risk analysis to assess the quarterly profitability of the company.